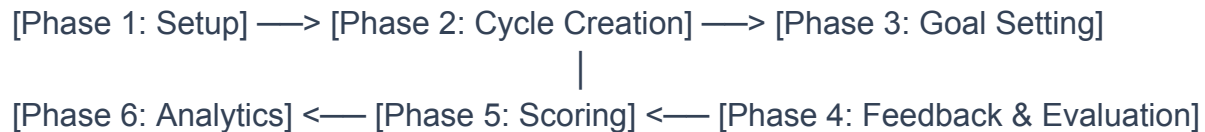


Modules Covered: KRAs, Appraisal Templates, Appraisal Cycles, Goals, 360° Feedback, Formula-Based Final Scoring, and Analytics Reports.

Overview of the Workflow



Phase 1: One-Time System Setup (HR / Admin)

Before launching an appraisal cycle, HR must configure the foundational elements.

Step 1: Define Key Result Areas (KRAs)

KRAs represent the primary responsibilities expected from specific roles or departments.

1. Go to **HR > Performance > KRA**.
2. Click **New**.
3. Enter the KRA Title (e.g., **Drawing Accuracy & Quality**, **On-Time Site Delivery**, **Safety Standard Compliance**).
4. Add a description explaining what the KRA covers and click **Save**.

Step 2: Create Appraisal Templates

Appraisal Templates group KRAs together and assign relative weightages to evaluate specific job roles or departments.

1. Go to **HR > Performance > Appraisal Template**.
2. Click **New** and enter a **Template Title** (e.g., **Design Engineer Template** or **Site Supervisor Template**).
3. Set the **KRA Table**:
 - Add **Drawing Accuracy & Quality** \$\\rightarrow\$ **Weightage**: 40%
 - Add **On-Time Site Delivery** \$\\rightarrow\$ **Weightage**: 40%
 - Add **Safety Standard Compliance** \$\\rightarrow\$ **Weightage**: 20%

(Note: Total weightage across all KRAs must equal 100%).
4. Add **Feedback Criteria** (for behavioral or qualitative aspects like *Teamwork*, *Communication*, *Problem Solving*).
5. Click **Save & Submit**.

Phase 2: Managing Appraisal Cycles (HR Team)

Appraisal Cycles define the evaluation period and determine which employees are being evaluated.

Step 1: Create the Appraisal Cycle

1. Go to **HR > Performance > Appraisal Cycle**.
2. Click **New**.
3. Fill in the primary details:
 - **Appraisal Cycle Name:** Annual Evaluation FY 2025-26
 - **Start Date:** 01-04-2025
 - **End Date:** 31-03-2026
4. Define the target group filters under **Applicable For**:
 - Filter by **Company**, **Department** (e.g., *Engineering & Operations*), **Designation**, or **Branch**.
5. Set automated reminders (e.g., notify managers 7 days before the evaluation due date).
6. Click **Save**.

Step 2: Generate Appraisals

1. Click the **Create Appraisals** button inside the active Appraisal Cycle.
2. ERPNext automatically creates individual **Appraisal Documents** for every eligible employee within the target group, linking their respective Appraisal Templates.

Phase 3: Goal Setting & KRA Alignment (Employee & Manager)

Employees set actionable, measurable goals for the cycle and map them directly to company KRAs.

Step 1: Create Goals

1. Employee logs into **Frappe HR Mobile App** or Web Portal $\rightarrow$ Go to **Performance > Goal**.
2. Click **New Goal**.
3. Fill in the goal details:
 - **Goal Title:** *Deliver 3D Scaffolding CAD Layouts for Site Alpha.*
 - **KRA Link:** Select *On-Time Site Delivery*.
 - **Start Date & End Date:** Define the timeline.
4. Set sub-goals using the **Tree View** if breaking down large projects into smaller tasks.

Step 2: Manager Review of Goals

1. The HOD/Manager reviews the employee's submitted goals.
2. Approves or requests edits to ensure alignment with operational priorities.

Phase 4: Tracking & Mid-Cycle Reviews (Employee & Manager)

Step 1: Progress Updates (Continuous Tracking)

1. As work progresses, the employee updates the **Progress Percentage (%)** on their Goal entry (e.g., updating progress from 0% $\rightarrow$ 50% $\rightarrow$ 100%).
2. The system auto-calculates the **Goal Completion Score** based on the weights of the linked KRAs.

Step 2: Mid-Cycle Check-in (Optional)

1. Managers use the **Goal Timeline View** to check lagging goals and post comments or guidance directly inside the ERP interface.

Phase 5: Evaluation, 360° Feedback & Final Scoring

At the end of the appraisal cycle, self-evaluations, peer reviews, and manager ratings are captured.

Step 1: Self-Appraisal (Employee)

1. The employee opens their **Appraisal Document** generated for the cycle.
2. Navigates to the **Self Appraisal Tab**.
3. Rates themselves on a scale of 1 to 5 against each KRA and Feedback Criterion.
4. Adds self-reflection notes and accomplishments, then clicks **Submit**.

Step 2: 360° Feedback Collection (Peers & Subordinates)

1. Under **Performance > Feedback**, peers or subordinates selected for 360° feedback receive a prompt.
2. They rate the employee on qualitative criteria (e.g., *Cross-Departmental Collaboration*) and submit comments anonymously or openly based on setup.

Step 3: Manager Evaluation

1. The HOD/Manager opens the employee's **Appraisal Document**.
2. Reviews the **Auto-calculated Goal Score**, **Self-Appraisal Ratings**, and **Peer Feedback**.
3. Provides final managerial ratings (1–5 scale) and detailed performance comments for each KRA.

Step 4: Configure Final Score Formula

ERPNext calculates the final score based on custom weightage formulas set per department.

- **Formula Configuration Example:**

Go to **Appraisal Cycle > Final Score Formula** and set:

$$\text{Final Score} = (\text{Goal Score} \times 60\%) + (\text{Self Rating} \times 10\%) + (\text{Manager Rating} \times 30\%)$$

- **Calculation Example:**

- **Goal Score:** 4.5 out of 5
- **Self Rating:** 4.0 out of 5
- **Manager Rating:** 4.2 out of 5

$$\text{Final Score Calculation} = (4.5 \times 0.60) + (4.0 \times 0.10) + (4.2 \times 0.30)$$

$$\text{Final Score Calculation} = 2.70 + 0.40 + 1.26 = \mathbf{4.36 \text{ out of } 5}$$

Phase 6: Reporting & Action Plans (HR & Management)

After final scores are computed, HR processes decisions using built-in analytics:

1. Appraisal Overview Report

Go to **HR > Reports > Appraisal Overview Report** to view:

- Department-wise performance distribution (Bell Curve analysis).
- Complete list of employee final scores, completed goals, and feedback ratings.

2. Execution of HR Actions

Based on the final score thresholds:

- **Score ≥ 4.5 (Top Performers):** Approved for Annual Increments, Bonuses, or Promotions.
- **Score 3.0 – 4.4 (Meets Expectations):** Maintained in current role with standard increments.
- **Score < 3.0 (Needs Improvement):** Assigned to a **Performance Improvement Plan (PIP)** and enrolled in specific module trainings via **HR > Training Program**.